

CREDIT ANALYSIS REPORT

Meridian Mechanical Services Ltd.

Proposed Equipment Financing Facility

CONFIDENTIAL(mock-up)

Borrower	Meridian Mechanical Services Ltd.
Facility Amount	\$800,000
Purpose	Vehicle and Equipment Purchase
Lending Institution	BMO Bank of Montreal
Report Date	June 2026
Recommendation	Approve with Exception and Conditions

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1. Executive Summary

Overview

Meridian Mechanical Services Ltd. is an established plumbing and HVAC contractor operating in the Hamilton and Burlington market in Ontario with eight years of operating history. The company has maintained a banking relationship with BMO through an existing equipment loan and operating line, both currently in good standing.

The company is seeking \$800,000 in new term financing to fund the acquisition of six Ford Transit cargo vans and specialized HVAC diagnostic equipment. The proposed amortization is five years at Prime plus 1.50%.

Financial Highlights

Metric	2022	2023	2024
Revenue	\$2,450,000	\$3,100,000	\$3,350,000
Gross Margin	39.0%	41.0%	38.0%
EBITDA	\$335,000	\$511,000	\$420,000
EBITDA Margin	13.7%	16.5%	12.5%
Net Income	\$137,000	\$261,000	\$194,000

Recommendation

Recommendation: Approve with Exception and Conditions. (Section 11)

Approval requires policy exceptions for the reported DSCR of 1.09x (below the 1.25x minimum) and the post-financing Debt-to-Equity ratio of 4.69x (above the 3.0x maximum). The recommendation to approve is supported by the following mitigating factors:

- Adjusted DSCR reaches 1.26x after normalizing excess owner compensation to market rate.
- The borrower has a satisfactory repayment history with BMO on existing facilities.
- Meaningful risk mitigation can be achieved through enhanced security, personal guarantees, insurance requirements, financial covenants, and funding conditions.

Without the owner compensation normalization, this application would be recommended for decline due to insufficient debt service capacity.

Key Risks Summary

Risk	Level	Primary Mitigant
Customer concentration (Hartwell = 32% of revenue)	HIGH	Annual review, diversification covenant
Reported DSCR below policy threshold (1.09x)	HIGH	Compensation normalization covenant
Key person dependency on Marco DeLuca	HIGH	Life and disability insurance assigned to BMO
Weak collateral coverage (55.1% asset coverage)	HIGH	Unlimited personal guarantee and GSA
Disclosure concerns (CRA arrears, undisclosed LOC)	MEDIUM	Updated PFS, CRA clearance before funding
Margin deterioration in 2024	MEDIUM	Quarterly monitoring and explanation required

2. Borrower Overview

Company Profile

Meridian Mechanical Services Ltd. was incorporated in Ontario in 2016. The company offers plumbing and HVAC installation, repair, and maintenance services to residential and light commercial clients throughout the Hamilton and Burlington areas. The business employs 18 full-time staff, including 12 licensed tradespeople, and operates out of a rented industrial facility in Hamilton's east end.

All required provincial trade contractor licenses are current and in good standing with no outstanding violations or regulatory concerns.

Company Detail		
Incorporated	Ontario, 2016	
Years in Operation		8 years
Employees	18 full-time (12 licensed tradespeople)	
Location		Hamilton, Ontario (rented industrial facility)
BMO Relationship	Equipment loan and operating line, currently in good standing	
Legal Structure	Single Ontario corporation. No holdco/opco structure, no intercompany complexity.	

Revenue Composition (2024)

Segment	Revenue Share	Notes
Residential Service and Repair	45%	Highest margin, most stable
Commercial HVAC Installation	30%	Lower margin, project-based
Maintenance Contracts (Recurring)	25%	Predictable, recurring revenue base

The maintenance contract book is the most defensible revenue stream. Commercial HVAC installation work, while contributing to revenue growth, is a contributing factor to the 2024 margin compression discussed in Section 5.

Customer Concentration

Customer concentration is an elevated risk. Hartwell Property Group, a Hamilton commercial property management firm, represents 32% of total 2024 revenue. The Hartwell relationship operates on annual service agreements with no long-term contract in place. Loss of this single client would reduce revenue by approximately \$1.07 million and would render the current debt structure unserviceable on its own.

3. Industry and Market Context

BMO Appetite and Sector Assessment

Plumbing and HVAC services are an acceptable sector for BMO commercial lending. It is not a restricted or policy-sensitive industry. Demand fundamentals are supported by aging housing stock across Ontario, continued residential construction activity, and growing commercial tenant requirements for climate-controlled environments.

Factor	Assessment
Competitive Environment	Market is fragmented with numerous small operators competing alongside mid-sized regional players. Meridian has positioned itself on turnaround time and quality of custom work. Consolidation opportunities exist for established firms.
Cost Pressures	Sustained input cost inflation since 2022, particularly in copper pipe, refrigerant, and HVAC equipment. Directly visible in Meridian's 2024 financials where COGS rose from 59% to 62% of revenue.
Labour Constraints	Skilled tradespeople remain difficult to recruit across Ontario. Meridian lost a senior HVAC technician in early 2024 and has not replaced the position. Marco is actively recruiting, but no hire has been made.
Regulatory Environment	No pending regulatory changes identified that would materially affect operations. All provincial licenses current and in good standing.
Overall Assessment	Favorable for the near term. Cyclical risk in commercial construction is partially offset by the recurring residential and maintenance contract base.

4. Management Assessment

Marco DeLuca, Age 44 (90% Shareholder and Sole Operator)

Marco has 18 years of hands-on industry experience, beginning as a licensed plumber and HVAC technician before founding Meridian in 2016. He manages all client relationships, sales and estimating, and day-to-day operations. The RM has known Marco for three years and describes him as knowledgeable, direct, and operationally focused. The business has grown from startup to \$3.35 million in revenue under his direction, which demonstrates meaningful execution capability.

Key Person Risk

Key person risk is the most significant management concern in this file. Marco holds every major client relationship, including Hartwell Property Group, which alone represents 32% of revenue. There is no management team, no formalized sales process, and no succession plan. If Marco were incapacitated, the business would face immediate operational and client retention challenges. Keyman insurance assigned to BMO is required as a condition of approval.

Transparency Concerns

Two separate transparency concerns have been identified during due diligence.

- When the RM asked Marco about the CRA account during a site visit, Marco initially indicated there were no issues before subsequently disclosing \$45,000 in tax instalment arrears.
- A credit bureau search revealed a \$28,000 personal line of credit at TD that Marco omitted from personal financial statement, attributing the omission to forgetting about.

Neither issue is necessarily disqualifying on its own, but together they suggest Marco may not be fully forthcoming when disclosure is inconvenient. This warrants careful attention during covenant negotiation and ongoing monitoring.

Owner Compensation and Dividend Policy

Marco's total 2024 draw from the business was \$365,000, consisting of \$185,000 in salary and \$180,000 in dividends. This is high relative to the company's earnings and effectively transfers almost all net income out of the business each year. In 2024, net income was \$194,000 and dividends paid were \$180,000, leaving only \$14,000 in retained earnings. The pace of extraction is limiting equity accumulation and reducing the financial cushion available to absorb operational shocks.

Sofia DeLuca, Age 42 (10% Shareholder)

Sofia holds a minority position in the business but plays no active role. She has not yet been asked to provide a personal financial statement or personal guarantee. As a shareholder in the

borrowing entity, her guarantee position must be assessed and addressed prior to credit approval. Her employment income as a school administrator represents a stable asset that would strengthen the guarantee package.

Strengths	Concerns
▪ 18 years of industry experience ▪ Proven revenue growth from startup to \$3.35M ▪ Known to RM for three years with good rapport ▪ Satisfactory repayment history with BMO	▪ Single point of failure for all client relationships ▪ Two disclosure issues identified during due diligence ▪ Aggressive dividend extraction limiting equity growth ▪ No succession plan or second-tier management

5. Financial Analysis

Three-Year Income Statement Trend

	2022	2023	2024	Change 2022-2024
Revenue	\$2,450,000	\$3,100,000	\$3,350,000	+36.7%
Gross Profit	\$954,500	\$1,271,000	\$1,273,000	+33.4%
Gross Margin	39.0%	41.0%	38.0%	-1.0 pts
EBITDA	\$335,000	\$511,000	\$420,000	+25.4%
EBITDA Margin	13.7%	16.5%	12.5%	-1.2 pts
Net Income	\$137,000	\$261,000	\$194,000	+41.6%
Net Margin	5.6%	8.4%	5.8%	+0.2 pts

The three-year revenue trend has been positive, the company growing from \$2.45 million to \$3.35 million, a cumulative increase of 36.7%. However, 2024 is the critical year in this file and the results are not encouraging.

2023 to 2024 Deterioration Analysis

	2023	2024	Change
Revenue	\$3,100,000	\$3,350,000	+\$250,000 (+8.1%)
Gross Profit	\$1,271,000	\$1,273,000	+\$2,000 (+0.2%)
EBITDA	\$511,000	\$420,000	-\$91,000 (-17.8%)
Net Income	\$261,000	\$194,000	-\$67,000 (-25.7%)

Meridian generated \$250,000 more in revenue in 2024 yet ended the year with less profit at every level. This pattern indicates that the incremental revenue came at near-zero gross margin and that overhead grew faster than the business could absorb. Two factors explain this deterioration.

Factor 1: Revenue mix shift and cost inflation. COGS increased from 59% to 62% of revenue. The commercial HVAC installation segment grew as a proportion of 2024 revenue. Commercial installation work is more materials-intensive and carries lower gross margins than residential service and repair. This mix shift, combined with continued material cost inflation in copper and refrigerant, is the most likely explanation for gross margin compression from 41% to 38%.

Factor 2: Owner salary increase play a BIG PART. Marco increased his salary from \$90,000 in 2022 to \$150,000 in 2023 to \$185,000 in 2024, a \$95,000 of 2.06x increase! This flows directly through operating expenses and accounts for approximately 38% of the \$93,000 increase in total operating expenses year-over-year. The remaining \$58,000 increase in operating expenses beyond the salary change should be confirmed with Marco and the CPA before funding.

Owner Salary Normalization

The CPA has noted that a market-rate general manager in this trade and region earns approximately \$120,000 per year. Marco's 2024 salary of \$185,000 exceeds that benchmark by \$65,000. In owner-operated businesses, the portion of owner compensation above the market rate for the role performed is considered a discretionary distribution and can be added back to EBITDA for credit analysis purposes.

Item	Amount
Reported EBITDA (2024)	\$420,000
Add: Excess owner compensation (\$185K - \$120K market rate)	\$65,000
Adjusted EBITDA	\$485,000

This adjustment directly affects the DSCR calculation. the salary increase occurred during a period of declining margins, which raises questions about how the business's reported profitability is being managed. The adjusted EBITDA as the recommended basis, subject to a covenant requiring Marco to maintain compensation at or near the market rate.

6. Ratio Analysis

Debt Service Coverage Ratio (DSCR)

	Reported EBITDA	Adjusted EBITDA
EBITDA	\$420,000	\$485,000
Existing Annual P&I (Loan A + Loan B)	\$193,000	\$193,000
New Loan Annual P&I (\$800K, 5yr, 7.45%)	\$192,000	\$192,000
Total Annual Debt Service	\$385,000	\$385,000
DSCR	1.09x	1.26x
Minimum Threshold	1.25x	1.25x
Status	FAIL	MARGINAL PASS

On reported EBITDA, the DSCR of 1.09x falls below the 1.25x minimum threshold. This is the central financial risk in this file. Even on the adjusted basis, 1.26x provides a thin buffer above the minimum. A modest revenue decline or further margin compression would push even the adjusted DSCR below the threshold.

Maintaining Marco's compensation at the market rate of \$120,000 must be a condition of approval and an ongoing covenant requirement. Without adherence to this, the loan will not remain serviceable at current revenue levels.

Leverage Ratios

Debt / EBITDA	Pre-Financing	Post-Financing (Reported)	Post-Financing (Adjusted)
Total Debt	\$620,000	\$1,420,000	\$1,420,000
EBITDA	\$420,000	\$420,000	\$485,000
Debt / EBITDA	1.48x	3.38x	2.93x
Threshold (max 4.50x)	n/a	Elevated	Pass

Debt / Equity	Pre-Financing	Post-Financing
Total Liabilities	\$865,000	\$1,665,000
Shareholders' Equity	\$355,000	\$355,000
Debt / Equity	2.44x	4.69x
Threshold (max 3.0x)	Elevated	FAIL

Pre-financing leverage is low at 1.48x Debt/EBITDA, reflecting that the existing debt is largely paid down. Post-financing, leverage rises to 3.38x on reported EBITDA, which falls within the 4.50x threshold but still are elevated compared to the industry stand of 3.00x. The Debt-to-Equity ratio of 4.69x post-financing exceeds the 3.0x maximum, requiring a policy exception and mitigation. The equity base has grown slowly because dividend distributions have absorbed most annual earnings, making the dividend restriction covenant important beyond its role as a simple protective measure.

Liquidity Analysis

Ratio	Formula	Result	Status
Current Ratio	\$630,000 / \$355,000	1.77x	Pass
Quick Ratio	\$595,000 / \$355,000	1.68x	Pass
Days Sales Outstanding (DSO)	AR / (Revenue / 365)	55.6 days	Elevated
Days Payable Outstanding (DPO)	AP / (COGS / 365)	25.5 days	Note
Cash Conversion Cycle (CCC)	DSO + DIO - DPO	30.1 days	Note

Liquidity ratios pass comfortably. The primary caveat is that \$510,000 of the \$630,000 in current assets is accounts receivable, representing 81% of the current asset base. If a material portion of the AR is aged or doubtful, the effective liquidity position is weaker than these ratios suggest. The AR aging schedule is required before funding to validate these figures.

DSO of 55.6 days is elevated for a plumbing and HVAC services business where payment terms typically run 30 to 45 days. This suggests slow-paying commercial clients, collection issues, or both. The Hartwell Property Group relationship warrants specific attention, as property management companies are frequently slow payers on trade services invoices.

DPO of 25.5 days means Meridian is paying its suppliers in approximately 26 days while collecting from clients in 56 days. This working capital gap partially explains why the operating line carries a \$90,000 drawn balance despite the company being profitable.

Ratio Dashboard Summary

Ratio	Result	Threshold	Status
DSCR (Reported)	1.09x	1.25x min	FAIL
DSCR (Adjusted)	1.26x	1.25x min	MARGINAL
ICR (Post-Financing)	2.99x	2.0x min	Pass
Debt / EBITDA (Post-Financing)	3.38x	4.0x max	ELEVATED
Debt / EBITDA (Post-Financing) Adj	2.93x	4.0x max	Pass
Debt / Equity (Post-Financing)	4.69x	3.0x max	FAIL
Current Ratio	1.77x	1.0x min	Pass
Quick Ratio	1.68x	1.0x min	Pass
Days Sales Outstanding	55.6 days	30-45 days	ELEVATED

7. Collateral, Security, and PPSA

Existing Fleet Assessment

The RM has provided an estimated current market value of \$720,000 for the existing fleet of 14 vans and trucks (2018 to 2023 models), based on the NADA commercial vehicle guide. No formal independent appraisal has been completed. This estimate must be validated with a written desktop appraisal before funding.

Existing Fleet	Amount
Estimated Market Value (RM estimate)	\$720,000
Applied LTV at 60% to 70% (65%)	\$468,000
Less: Outstanding BMO First Charges (Loan A + Loan B)	(\$530,000)
Net Available Lending Value from Existing Fleet	(\$62,000)

The existing fleet is fully encumbered. Outstanding charges of \$530,000 exceed the lending value of \$468,000, resulting in a deficit of \$62,000. The existing fleet provides zero net security contribution to the new loan.

New Assets Being Purchased

Asset	Purchase Price	LTV	Lending Value
6 x Ford Transit Cargo Vans (new)	\$420,000	70%	\$294,000
HVAC Diagnostic and Refrigerant Recovery Equipment	\$380,000	55%	\$209,000
Total New Assets	\$800,000		\$503,000

A 70% LTV is applied to the new vans as they are general-purpose commercial vehicles with a broad secondary market. A 55% LTV is applied to the HVAC diagnostic equipment as it is more specialized and would have a narrower buyer pool in a distress scenario. Both LTVs assume a forced-sale recovery scenario.

Note: LTV on the vans will erode quickly. Commercial vans depreciate significantly in the first three years of operation. Security coverage on the vehicle component should be reviewed at the annual review in year two to confirm lending values remain adequate relative to the outstanding loan balance.

Total Collateral Coverage

Component	Net Lending Value
Existing Fleet (after deducting existing charges)	(\$62,000)
New Vans (first charge)	\$294,000
New HVAC Equipment (first charge)	\$209,000
Total Asset-Backed Lending Value	\$441,000
Proposed New Loan	\$800,000
Asset Collateral Shortfall	(\$359,000)
Asset Coverage Ratio	55.1%

Asset coverage of 55.1% is weak. Approximately 45 cents of every dollar lent is backed only by the personal guarantee. This is materially below what would be considered a well-secured commercial facility. The bank is taking a meaningful unsecured exposure that is bridged entirely by Marco's personal guarantee.

Personal Guarantee Assessment

Asset	Stated Value	Adjustment	Realizable Value
Primary Residence	\$890,000	80% forced-sale LTV	\$712,000
Residential Mortgage	(\$480,000)		(\$480,000)
Net Home Equity (Realizable)			\$232,000
RRSP	\$145,000	80% (tax and liquidation costs)	\$116,000
TFSA	\$32,000	100%	\$32,000
Vehicle (net of loan)	\$24,000	60%	\$14,400
Personal LOC (TD Bank, undisclosed)	(\$28,000)		(\$28,000)
Estimated Guarantee Realizable Value			\$366,400

Against the \$359,000 collateral shortfall, Marco's personal guarantee carries an estimated realizable value of approximately \$366,400. This technically covers the gap, but with essentially no margin. Enforcement would be protracted, costly, and uncertain given the concentration of personal wealth in an illiquid primary residence. Sofia DeLuca's guarantee must also be obtained before funding.

8. Risk Register and Mitigants

Risk Factor	Level	Mitigant
Customer concentration: Hartwell = 32% of revenue, no long-term contract	HIGH	Annual financial review. Customer diversification expectations. Monitoring of contract renewals.
Reported DSCR of 1.09x below the 1.25x policy threshold	HIGH	Owner salary normalizes to \$120k industry standard. Covenant requiring minimum DSCR of 1.25x tested annually.
Gross margin and EBITDA margin deterioration in 2024	HIGH	Explanation from Marco and CPA required before funding. Quarterly monitoring through covenants.
Key person dependency: Marco holds all client relationships, sales, and operations	HIGH	Keyman and disability insurance assigned to BMO as a condition of funding.
Weak collateral coverage: asset-backed security covers only 55.1% of proposed loan	HIGH	Unlimited personal guarantees from Marco and Sofia DeLuca. General Security Agreement (GSA) over all business assets.
CRA tax instalment arrears of \$45,000	MEDIUM	Full repayment of CRA balance required as a condition precedent to funding.
Undisclosed TD personal line of credit (\$28,000)	MEDIUM	Updated personal financial statement from Marco required before funding.
Sofia DeLuca holds 10% equity but no guarantee provided	MEDIUM	Unlimited personal guarantee from Sofia DeLuca required as a condition precedent.
Month-to-month facility lease with no long-term commitment	MEDIUM	Landlord confirmation required. Lease renewal plans to be reviewed.
AR aging not reviewed, DSO elevated at 55.6 days	MEDIUM	Full AR aging schedule required before funding to validate receivables quality.
Senior HVAC technician vacancy unresolved since early 2024	MEDIUM	Ongoing recruitment efforts. Status to be confirmed at annual review.

9. Sensitivity and Scenario Analysis

The base case analysis demonstrates that debt service capacity is the primary weakness in this file. Reported DSCR is 1.09x and only reaches 1.26x after normalizing owner compensation. Given the concentration risk and margin deterioration, the following stress scenarios are required.

Scenario 1: Loss of Hartwell Property Group

Item	Amount
2024 Revenue	\$3,350,000
Hartwell Revenue (32%)	(\$1,072,000)
Remaining Revenue	\$2,278,000
EBITDA at 12.5% Margin	\$285,000
Annual Debt Service	\$385,000
DSCR	0.74x

Loss of Hartwell would immediately render the company incapable of servicing debt obligations from operating cash flow. This confirms customer concentration as the single largest business risk in the file.

Scenario 2: Additional 2% Gross Margin Compression

Item	Amount
Revenue	\$3,350,000
Additional Margin Compression (2%)	(\$67,000)
Revised EBITDA	\$353,000
Annual Debt Service	\$385,000
DSCR	0.92x

A relatively modest deterioration in profitability pushes DSCR below 1.0x. This demonstrates the limited financial cushion available under the proposed debt structure. Gross margin must be stabilized or improved for the loan to remain serviceable.

Scenario 3: Owner Compensation Normalization Maintained

Item	Amount
Adjusted EBITDA (salary at \$120K)	\$485,000
Annual Debt Service	\$385,000
DSCR	1.26x

This scenario produces an acceptable but thin debt service buffer. Continued adherence to a reduced compensation policy is necessary for the loan to remain serviceable throughout its term.

Sensitivity Conclusion

The analysis demonstrates that Meridian's ability to service the proposed debt is highly sensitive to three variables: retention of Hartwell Property Group, maintenance of current gross margins, and reduction of Marco's compensation to market levels. While leverage remains acceptable, cash flow coverage is fragile. Strong covenants and active monitoring are required throughout the life of the facility.

10. Proposed Loan Structure and Covenant Package

Facility Terms

Term	Detail
Facility Type	New Term Loan
Facility Amount	\$800,000
Purpose	Purchase of 6 Ford Transit cargo vans and HVAC diagnostic and refrigerant recovery equipment
Amortization	5 years
Interest Rate	Prime + 1.50%
Payment Frequency	Monthly principal and interest
Primary Security	First charge on all newly acquired assets
Additional Security	General Security Agreement (GSA) over all business assets
Personal Guarantees	Unlimited personal guarantees from Marco DeLuca and Sofia DeLuca

Financial Covenants

Covenant	Requirement
Minimum DSCR	DSCR greater than or equal to 1.25x, measured annually using reviewed financial statements
Maximum Debt / EBITDA	Debt / EBITDA less than or equal to 3.00x
Owner Compensation	Marco DeLuca's total salary not to exceed \$120,000 per year unless DSCR exceeds 1.40x on a trailing twelve-month basis
Dividend Restriction	No dividends, shareholder loans, or distributions if DSCR is below 1.25x or any CRA obligation is outstanding

Reporting Requirements

Item	Requirement
Financial Statements	Reviewed financial statements within 120 days of fiscal year end
Tax Returns	Corporate tax returns within 30 days of filing

Item	Requirement
Personal Financial Statements	Updated personal financial statements from Marco and Sofia DeLuca, annually
AR Aging	Borrowing base or AR aging upon request

Insurance Requirements

Insurance Type	Requirement
Keyman insurance	Coverage on Marco DeLuca in an amount satisfactory to BMO, assigned to BMO as first beneficiary
Key Person Disability Insurance	Coverage on Marco DeLuca in an amount satisfactory to BMO, assigned to BMO as first beneficiary
Business Property and Liability	Maintained at adequate levels with BMO noted as loss payee on equipment

11. Conditions Precedent to Funding

Financial Conditions

1. CRA arrears of \$45,000 paid in full prior to funding.
2. Updated corporate financial statements confirming no material deterioration since the most recent year-end.
3. Updated personal financial statement from Marco DeLuca reflecting the TD Bank personal line of credit and all current liabilities.
4. Personal financial statement from Sofia DeLuca, reviewed and found satisfactory.

Security Conditions

5. Unlimited personal guarantees executed by both Marco DeLuca and Sofia DeLuca.
6. First-ranking security interest registered over all newly acquired equipment.
7. General Security Agreement registered against Meridian Mechanical Services Ltd.
8. Satisfactory PPSA search results confirming priority position and no undisclosed prior charges.
9. Equipment purchases invoices received and reviewed, confirming purchase price and serial numbers.

Due Diligence Conditions

10. AR aging schedule reviewed and found satisfactory, with no material concentration of aged or doubtful receivables.
11. Independent desktop appraisal of the existing fleet completed and found satisfactory.
12. Confirmation from CRA of no additional arrears, tax liens, or outstanding obligations beyond those disclosed.
13. Evidence of required business property, liability, and commercial vehicle insurance.

Insurance Conditions

14. Keyman insurance on Marco DeLuca assigned to BMO as first beneficiary, in an amount and on terms satisfactory to the bank.
15. Key person disability insurance on Marco DeLuca assigned to BMO as first beneficiary, in an amount and on terms satisfactory to the bank.

Other Conditions

16. Confirmation that the month-to-month facility lease remains in good standing and that no notice of termination has been received.
17. Evidence of successful delivery, installation, and commissioning of all purchased equipment.
18. No material adverse change in the financial condition, operations, or key relationships of Meridian Mechanical Services Ltd. between the date of approval and the date of funding.

APPROVE WITH EXCEPTION AND CONDITIONS

This report has been prepared for internal credit committee review. All financial data is sourced from borrower-provided reviewed financial statements, RM field notes, and credit bureau results. Independent verification of collateral values and CRA standing is required before funding proceeds.